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8-3 Direct Write-Off Method for Uncollectible Accounts

Objective 3 - Describe the direct write-off method of accounting for uncollectible receivables.

Under the direct write-off method, Bad Debt Expense is not recorded until the customer's account is determined to be worthless. At that time, the customer's account receivable is written off.

To illustrate, assume that a $4,200 account receivable from D. L. Ross has been determined to be uncollectible. The entry to write off the account is as follows:

May 10	Bad Debt Expense	4,200	
	Accounts Receivable—D. L. Ross		4,200

Assets	=	Liabilities	+	Stockholders' Equity
Accounts Receivable				Bad Debt Expense
(credit) 4,200				4,200 (debit)

An account receivable that has been written off may be collected later. In such cases, the account is reinstated by an entry that reverses the write-off entry. The cash received in payment is then recorded as a receipt on account.

To illustrate, assume that the D. L. Ross account of $4,200 written off on May 10 is later collected on November 21. The reinstatement and receipt of cash is journalized as follows:

Nov. 21	Accounts Receivable—D. L. Ross	4,200	
	Bad Debt Expense		4,200

Assets	=	Liabilities	+	Stockholders' Equity
Accounts Receivable				Bad Debt Expense
4,200 (debit)				(credit) 4,200

Nov. 21	Cash	4,200	
	Accounts Receivable—D. L. Ross		4,200

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Accounts Receivable				
4,200 (debit)	(credit) 4,200				

The direct write-off method is used by businesses that sell most of their goods or services for cash or through the acceptance of **Mastercard (MA)** or **Visa (V)**, which are recorded as cash sales. In such cases, receivables are a small part of the current assets and any bad debt expense is small. Examples of such businesses are a restaurant, a convenience store, and a small retail store.

Business Insight

Failure to Collect

When customers fail to pay their accounts, a business has the option of seeking payment through a variety of means. The easiest recourse is to simply inquire about the cause of nonpayment and adjust terms to maximize the potential for collection. For large amounts, the cost and time of legal remedies may be appropriate. However, for smaller amounts, most businesses wish to minimize the time, effort, and cost of collecting amounts past due. Thus, after exhausting their internal efforts to collect, it is typical to use the services of a collection agency to collect overdue accounts. Such services must abide by a number of consumer protection laws in collecting overdue accounts. The final amount collected will often be less than the full amount due, of which the collection agency will often keep 25–45% as a fee. Thus, the collection agency is often the last resort before a final write-off.

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